

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

**Department 12
Honorable Nahal Iravani-Sani, Presiding**

Courtroom Clerk, Ryan Nguyen
191 North First Street, San Jose, CA 95113
Telephone: (408) 882-2230

DATE: 05/15/2026 TIME: 9:00 A.M. and 9:01 A.M.

LINE 7	26CV484360	Mohammad Khokhar v. Gene Kristul et al	OSC TRO/PRELIMINARY INJUNCTION Plaintiff's motion for preliminary injunction is DENIED. A preliminary injunction is an extraordinary remedy. In determining whether to issue such relief, the Court considers: (1) the likelihood that the moving party will prevail on the merits at trial, and (2) the interim harm the moving party is likely to sustain if the injunction is denied as compared to the harm the opposing party is likely to suffer if the injunction is issued. Here, Plaintiff has not met the burden necessary to warrant preliminary injunctive relief. Based on the present record, Plaintiff has not demonstrated a reasonable probability of prevailing on the merits. In addition, Plaintiff has not established that immediate and irreparable harm will occur absent issuance of the requested injunction. Any alleged injury appears compensable through monetary damages or other relief available in the ordinary course of litigation. The balance of harms and equities also does not weigh in favor of the requested injunction. On the current showing, the requested relief would impose burdens and restrictions disproportionate to the speculative or insufficiently supported harm asserted by Plaintiff. Accordingly, the motion is DENIED. Defendants to prepare the proposed order, accompanied by EFS-020 within 7 days of the hearing. Matter will remain as set for further Case Management Conference July 30, 2026 in Department 12.
LINE 8			

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LINE 9			
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LINE 11			
LINE 12			

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Plaintiff moves for attorney's fees and costs pursuant to Civil Code section 1794(d) following settlement of this action under the Song-Beverly Consumer Warranty Act. Plaintiff accepted Defendant's CCP 998 offer approximately 14 months after the commencement of this litigation, which included payment of Plaintiff's reasonable attorney's fees and costs. Defendant does not dispute that Plaintiff is the prevailing party for purposes of this motion but contends the fees sought are excessive.

Civil Code section 1794(d) mandates an award of reasonable attorney's fees to a prevailing buyer. In determining a reasonable fee, courts apply the lodestar method, calculated by multiplying the number of hours reasonably expended by a reasonable hourly rate. (See *PLCM Group v. Drexler* (2000) 22 Cal.4th 1084, 1095.)

Plaintiff seeks \$25,579.50 incurred in attorneys fees and \$955.39 in costs, for a total of \$26,534.89.

Plaintiff's proposed fee recovery is based on 41.1 hours spent by counsel litigating this case. Plaintiff anticipated an additional 4.5 hours in attorney fees with reviewing D's opposition, preparing a reply brief and attending a hearing on their motion. Defendant argues the rates and hours are inflated as the case involved no novel or unique issues and the fees are exorbitant.

Having reviewed the moving papers, opposition, reply, and billing records, the Court finds that the number of hours expended is generally reasonable given the procedural posture of the case. The records are sufficiently detailed, and the Court does not find pervasive duplication or improper billing practices warranting a broad reduction in hours. While defense contends that the claimed hours is excessive for a routine Song-Beverly case, the Court accepts Plaintiff counsel's representation that further reductions in hours have already been made. "The verified time statements of attorneys, as officers of the court, are entitled to credence in the absence of a clear indication the records are erroneous." (*Horsford v. Board of Trustees pf Ca; St. Univ.* (2005) 132 Cal. App.4th 359, 396; *Martino v. Denevi* (1986) 182 Ca. App.3d 553, 559.)

With respect to hourly rates, the Court finds \$500 per hour for partner-level work, \$350 per hour for associate-level work, and \$150 per hour for law clerk work to more closely reflect the prevailing market rates for comparable services in this community. The Court may rely on its own knowledge and familiarity with the legal market in setting a reasonable hourly rate. (*Heritage Pac. Fin., LLC v. Monroy* (2013) 215 Cal.App.4th 972, 1009)

Accordingly, the motion for attorney's fees and costs is GRANTED IN PART AND DENIED IN PART, as follows:

1. The Court sets reasonable hourly rates at \$500 for partner-level work, \$350 for associate-level work, and \$150 for law clerk work.
2. Plaintiff's request for costs in the amount of \$955.39 is granted.

3. If no party contests this tentative ruling, the compensable time shall be reduced by one hour.
4. Plaintiff shall prepare and submit a proposed order containing a revised lodestar breakdown consistent with this ruling, identifying each timekeeper, the approved hourly rate, the compensable hours allowed, and the resulting final recalculated attorney's fee amount.

Calendar Line 4

Case Name: Mathew Reinhardt v. General Motors LLC
Case No 25CV465577

The Court has reviewed the moving papers, opposition, reply, declarations, and billing records submitted. The Court finds that this action involved a routine Song-Beverly repurchase claim that was resolved relatively early in the litigation after approximately 6 months. While the Court does not undermine the effort put forth by Plaintiff, the Court agrees with Defendant that the case did not present novel or particularly complex issues that would justify the application of a multiplier. Plaintiff has not demonstrated circumstances warranting enhancement of the lodestar, and the request for a 1.5 multiplier is therefore DENIED.

With respect to hourly rates, the Court finds that the requested rate of \$500 per hour for the number of years the attorneys have been in practice is consistent with prevailing market rate in Santa Clara County. The Court finds \$150 per hour to be a reasonable rate for paralegal work. These rates reflect the prevailing market rates for comparable services in this community.

The Court finds that the number of hours claimed is excessive for the anticipated additional hours requested for preparation of the reply and attendance at the hearing on this motion. The hours shall be reduced from 10 hours to 3.5 - 4.5 hours (see below.)

The Court requires documentation or explanation of costs for “other” in the amount of \$200 of the requested \$823.44 in costs.

Accordingly, the motion for attorney’s fees and costs is GRANTED IN PART AND DENIED IN PART, as follows:

1. The Court grants the reasonable hourly rates at \$500 per hour for partner level attorney work and \$150 an hour for paralegal work.
2. Plaintiff’s request for a 1.5 multiplier is denied.
3. The requested fees of 10 hours anticipated to prepare for, present, and argue this motion shall be reduced to 4.5 hours. If no one contests this tentative ruling, it shall be further reduced by 1 hour.
4. Plaintiff shall submit documentation supporting the claimed costs with the proposed order.

Plaintiff shall prepare and submit a proposed order consistent with this ruling, including the recalculated fee award and supporting documentation for costs, accompanied by Form EFS-020 within 10 days of this hearing.

Calendar Line 5

Case Name: *Bret Sewell et al v. Andrew Medeiros et al.*

Case No.: 25CV471760

Demurrer to Complaint by defendants TTNC, Inc., Trim Tech Industries, Inc., Andrew J. Medeiros, Ellen M. Medeiros, Matthew Medeiros, Andrew J. Medeiros, as co-trustee of the Medeiros 2007 Living Trust dated 5/17/04, and Ellen Medeiros as co-trustee of MEM Vida Trust dated 9/7/06.

Factual and Procedural Background

This is a fraud and breach of contract action brought by plaintiff Trim Tech Distribution, LLC (“TTD”), Trim Tech Construction, Inc. (“TTC”), Bret Sewell (“Bret”), and Christine Sewell (“Christine”; collectively, “Plaintiffs”) against defendants TTNC, Inc. (“TTNC”), Trim Tech Industries, Inc. (“TTI”), Andrew J. Medeiros (“Andrew”), Ellen M. Medeiros (“Ellen”), Matthew Medeiros (“Matthew”), Andrew J. Medeiros, as co-trustee of the Medeiros 2007 Living Trust dated 5/17/04, and Ellen Medeiros as co-trustee of MEM Vida Trust dated 9/7/06 (collectively, “Defendants”).¹

Bret and Christine are the owners of TTD and TTC, which were formed for the purpose of acquiring the business sold by Defendants, TTNC and TTI (collectively, the “Trim Tech Business”). (Complaint, ¶¶ 3, 15.)

Andrew was a co-founder of the Trim Tech Business, owned 51% of TTI, and led all Trim Tech Business construction operations and product sales. (Complaint, ¶ 6.) Andrew is also co-trustee of the Medeiros 2007 Living Trust Dated 5/17/04 (the “Medeiros Trust”), a revocable living trust settled by Andrew and a 49% owner of TTNC. (*Id.* at ¶ 9.)

Ellen was a co-founder of the Trim Tech Business, 49% owner of TTI, and the controller who led Trim Tech Business’s finance and administration. (Complaint, ¶ 7.) Ellen is also co-trustee of MEM Vida Trust dated 9/7/06 (the “MEM Vida Trust”), a revocable living trust settled by Ellen and a 51% owner of TTNC. (*Id.* at ¶ 10.)

Matthew led the marketing and selling of the Trim Tech Business and was the primary contact for Defendants’ selling agent that advised Defendants on the sale. (Complaint, ¶ 8.) The Complaint alleges that TTNC and TTI are the alter egos of Andrew, Ellen, Matt, the Medeiros Trust, the MEM Vida Trust (collectively, “Individual Defendants”). (*Id.* at ¶ 13.)

On December 20, 2022, TTD and TTC entered into a written Asset Purchase Agreement (the “APA”) for the purchase of Trim Tech Business. (Complaint, ¶ 15.) Plaintiffs purchased the Trim Tech Business for \$11.7 million, and TTD and TTC were required to enter a five-year lease of the building owned by Defendants. (*Id.* at ¶ 16.) The transaction closed on December 22, 2022. (*Id.* at ¶ 15.)

Prior to entering the APA, Andrew, Ellen, and Matthew falsely represented to Plaintiffs—primarily Bret—that the Trim Tech Business was profitable with a strong and experienced team of employees that knew how to run the business and were compensated at market levels. (Complaint, ¶¶ 16, 19-20.) After the close of the APA, many employees complained to Plaintiffs about their pay, Bret had to personally conduct hiring interviews as none of the existing employees had experience recruiting, and Plaintiffs learned that employees

¹ The court refers to the individual plaintiffs and defendants by their first names for purposes of clarity. No disrespect is intended. (See *Rubenstein v. Rubenstein* (2000) 81 Cal.App.4th 1131, 1136, fn. 1.)

were paid as much as 50% below market rate through 2022. (*Id.* at ¶ 19.) Despite making salary adjustments, eight legacy Trim Tech Business employees left, citing below market compensation. (*Ibid.*)

Defendants also falsely represented that a \$14 million project backlog was included in Trim Tech Business's assets, which would sustain a significant portion of the company for the next two years. (Complaint, ¶ 18.) While Defendants agreed to provide Trim Tech Business's material contracts, Defendants did not provide Plaintiffs with the agreements detailing the backlog projects. (*Ibid.*) The projects did not generate the 40% gross margin represented in the Confidential Information Memorandum (the "CIM") Defendants provided to Plaintiffs prior to the APA. (*Ibid.*) It became clear that the backlog projects were bid at margins lower than represented in the CIM, and Defendants had deliberately bid on projects with thin margins. (*Ibid.*)

On July 29, 2025, Plaintiffs filed the Complaint alleging the following causes of action: (1) intentional misrepresentation; (2) concealment; (3) negligent misrepresentation; and (4) breach of contract.

On November 6, 2025, the Defendants filed the instant demurrer. Plaintiff filed a timely opposition, and the Defendants filed a timely reply.

Demurrer to the Complaint

The Individual Defendants demur to each cause of action on the ground that the pleadings fail to state sufficient facts for alter ego liability against the Individual Defendants. (Code Civ. Proc., § 430.10, subd. (e).) All Defendants demur to each cause of action on the ground that the pleadings fail to state sufficient facts. (Code Civ. Proc., § 430.10, subd. (e).)

Legal Standards

In ruling on a demurrer, the court treats the motion "as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688 [citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318].) "The reviewing court gives the complaint a reasonable interpretation, and treats the demurrer as admitting all material facts properly pleaded. The court does not, however, assume the truth of contentions, deductions or conclusions of law." (*Gregory v. Albertson's, Inc.* (2002) 104 Cal.App.4th 845, 850.) However, it has long been held that on demurrer, leave to amend should be granted where "there is a reasonable possibility that the defect can be cured by amendment." (*Loeffler v. Target Corp.* (2014) 58 Cal.4th 1081, 1100; see also *A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 687.)

Pleading Requirements for Alter Ego Liability

In demurring to the Complaint, Individual Defendants assert that the Complaint fails to allege sufficient facts supporting the theory that they are alter egos of TTNC and TTI. (Demurrer at p. 8-3:5.)

To support an alter ego theory of liability, a plaintiff must plead: (1) such a unity of interest and ownership that the separate personalities of the corporation and the individuals do not exist, and (2) that an inequity will result if the corporate entity is treated as the sole actor. (See *Stodd v. Goldberger* (1977) 73 Cal.App.3d 827, 832.) Courts consider whether an individual or organization dominated and controlled the entity, the controlling party used the entity's assets as his or her own, the entity served as a mere shell and conduit for the

controlling party, the entity was undercapitalized, and the entity failed to abide by the formalities of corporate existence. (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 235 (*Rutherford Holdings*).) “Courts have followed a liberal policy of applying the alter ego doctrine where the equities and justice of the situation appear to call for it rather than restricting it to the technical niceties depending upon pleading and procedure.” (*First Western Bank & Trust Co. v. Bookasta* (1968) 267 Cal.App.2d 910, 915.) A party is only required to allege ultimate rather than evidentiary facts in support of an alter ego theory. (*Rutherford Holdings, supra*, 223 Cal.App.4th at p. 236.)

Here, the allegations of paragraph 13 simply restate the elements of alter ego liability and fail to allege how TTNC and TTI could be considered as the alter ego of the Individual Defendants. Furthermore, the allegations are made solely—and inadequately—on information and belief. Even when it is permissible to allege an ultimate fact on information and belief, a plaintiff cannot simply rely on the phrase “information and belief” without more. (*Gomes v. Countrywide Home Loans, Inc.* (2011) 192 Cal.App.4th 1149, 1158-1159.) Instead, a plaintiff must allege the facts or information that led to the inference or belief in the truth of the ultimate fact allegation. (*Ibid.*) The Complaint fails to allege any facts supporting Plaintiffs’ belief that TTNC and TTI are alter egos of the Individual Defendants.

As this is the first substantive pleadings challenge, the demurrer to the entire Complaint against the Individual Defendants is SUSTAINED WITH 20 DAYS’ LEAVE TO AMEND for failure to allege sufficient facts. (Code Civ. Proc., § 430.10, subd. (e).)

Pleading Requirements for Fraud Claims

In demurring to the first cause of action for intentional misrepresentation, second cause of action for concealment, and third cause of action for negligent misrepresentation, Defendants argue that the claims fail to allege facts with the specificity required for fraud claims.

As a general rule, each element in a fraud cause of action must be pleaded with specificity. (*Lazar v. Super. Ct.* (1996) 12 Cal.4th 631, 645 (*Lazar*); *Cadlo v. Owens-Illinois, Inc.* (2004) 125 Cal.App.4th 513, 519.) Thus, to properly allege a fraud or negligent misrepresentation cause of action, a plaintiff must plead “facts which ‘show how, when, where, to whom, and by what means the representations were tendered.’” (*Lazar, supra*, 12 Cal.4th at 645.) “Causes of action for intentional and negligent misrepresentation sound in fraud and, therefore, each element must be pleaded with specificity.” (See *Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1166, [overruled in part on a different ground *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 919].)

Courts have recognized certain exceptions that mitigate the rigor of the rule requiring specific pleading of fraud. (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 217 (*Committee*).) Thus, even under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party. (*Ibid.*; 5 Witkin, California Procedure (6th ed. 2026) Pleading, §725 [“Intent, like knowledge, is a fact. Hence, the averment that the representation was made with the intent to deceive the plaintiff, or any other general allegation with similar purport, is sufficient.”].)

Intentional Misrepresentation and Negligent Misrepresentation

The elements of a negligent misrepresentation claim are (1) a misrepresentation of a past or existing material fact, (2) made without reasonable ground for believing it to be true,

(3) made with the intent to induce another's reliance on the fact misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage. (*Ragland v. U.S. Bank National Assn.* (2012) 209 Cal.App.4th 182, 196.) The elements of an intentional misrepresentation claim are similar, except that the defendant must know the representation was false at the time it was made. (*West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 792 (*West*).)

Here, the Complaint essentially alleges four subjects of misrepresentation: (1) Trim Tech Business's profitability as a business generating 40% gross margins and 20% adjusted EBITDA margins; (2) Trim Tech Business's \$14 million project backlog that would sustain a significant portion of business for the next two years; (3) Trim Tech Business's legacy employees' capacity to run the business; and (4) the market rate compensation of Trim Tech Business's employees. (Complaint, ¶ 49.) While the Court acknowledges that the Complaint does allege each purported misrepresentation with some particularity, the allegations are still lacking in some respect.

First, the Complaint alleges that (1) at a meeting on September 1, 2022, Andrew represented to Bret that TTI was a 50% gross margin business; (2) at a meeting on October 3, 2022, Ellen and Matthew represented to Bret that Trim Tech Business's 2022 consolidated gross margin would be 40-41%; and (3) at a meeting on December 14, 2022, Ellen and Matthew represented to Bret that the final 2022 EBITDA was 27%. (Complaint, ¶ 17.) As Defendants argue, it is unclear whether these representations are necessarily false. These representations concern Trim Tech Business's gross profit margins and EBITDA in 2022, and the Complaint subsequently alleges that Trim Tech Business lost money within eighteen months of the APA, with 2024 gross margins of 16% and a sizeable EBITDA loss. (Complaint, ¶ 17.) As pled, the Complaint does not allege that Defendants falsely represented that Trim Tech Business would maintain its 2022 numbers in 2024.

Second, the Complaint alleges that prior to the APA, Defendants presented Plaintiffs with the CIM that represented a 40% gross margin for the \$14 million in backlog projects. (Complaint, ¶ 18.) The Complaint does not allege who presented the CIM, how the CIM was presented, or to whom the CIM was presented.

Third, the Complaint alleges on November 22, 2022, Andrew represented to Bret that certain employees could all manage their respective functions, but managers and team leaders actually had no experience with managing material or labor costs or pricing projects. (Complaint, ¶ 19.) The Complaint does not allege how or by what means the representation was made, and where the representation was made.

Finally, while the Complaint alleges one phone call and one meeting² wherein Andrew and/or Ellen represented to Brett that they expected all employees to stay and that there had been "infrequent" complaints about pay, none of these representations support the allegation that "Defendants assured that the Trim Tech Business employees were being compensated at market levels." (Complaint, ¶ 20.)

Defendants also argue that the Complaint fails to allege sufficient facts demonstrating that (1) the representations were false when made; (2) Defendants knew the representations were false; (3) Defendants intended to deceive Plaintiffs; and (4) Plaintiff reasonably relied on the misrepresentations. The argument is unpersuasive. First, the Complaint does allege facts

² The Complaint also alleges a conversation during a meeting on December 14, 2022, wherein Andrew represents to Bret that "Project Managers can be hired for \$60-70K". (Complaint, ¶ 20.) It is unclear how this is relevant or supports the alleged misrepresentation.

demonstrating that some representations were false when made. The Complaint alleges that the CIM represented a 40% gross margin for the \$14 million in backlog projects, but upon investigation, Plaintiffs realized that the projects were heavily underbid at thin margins. (Complaint, ¶ 25.) Second, as noted above, the Complaint's general averment of Defendants knowledge of falsity and intent to deceive are sufficient to survive demurrer. (See 5 Witkin, California Procedure (6th ed. 2026) Pleading, §725.) Third, the Complaint expressly alleges the facts underlying Plaintiff's justifiable reliance on the misrepresentations—*i.e.*, Defendants found and ran the business for 30 years, and Plaintiffs did not have access to material contracts and bid sheets. (Complaint, ¶ 28.)

On Reply, Defendants primarily contend that representations concerning the experience and market rate compensation of legacy Trim Tech Business employees all constitute non-actionable statements of opinion. (Reply, at pp. 7-8.) The Court declines to consider the argument as it is raised for the first time on reply. (See *e.g.*, *Browne v. County of Tehama* (2013) 213 Cal.App.4th 704, 720, fn. 10 [“Points raised for the first time in a reply brief will ordinarily not be considered, because such consideration would deprive the respondent of an opportunity to counter the argument.”])

The demurrer to the first and third causes of action is therefore SUSTAINED WITH 20 DAYS LEAVE TO AMEND for failure to allege sufficient facts. (Code Civ. Proc., § 430.10, subd. (e).)

Concealment

The essential elements of a fraud cause of action based on concealment or nondisclosure are: (1) the defendant had a duty to disclose the concealed or suppressed fact to the plaintiff; (2) the defendant intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, and (3) the plaintiff was damaged as a result. (See *Jones v. ConocoPhillips* (2011) 198 Cal.App.4th 1187, 1198.)

As an initial matter, Defendants complain that the Complaint fails to allege (1) which Defendants concealed the fact; (2) how concealment occurred; (3) when concealment occurred; and (4) Defendants' intent to deceive. (Demurrer at p. 6:15-21.) The argument is unpersuasive as the specificity requirement in pleading fraud is relaxed for concealment claims. As one court has stated, “How does one show ‘how’ and ‘by what means’ something didn’t happen, or ‘when’ it never happened, or ‘where’ it never happened?” (*Alfaro v. Community Housing Imp. System & Planning Ass’n, Inc.* (2009) 171 Cal.App.4th 1356, 1384.) The who, how, and when of the concealment claim falls squarely within Defendants' unique knowledge. (See *Committee, supra*, 35 Cal.3d at p. 217.) The same goes for Defendants' intent to deceive. (See 5 Witkin, California Procedure (6th ed. 2026) Pleading, §725.) Accordingly, the demurrer cannot be sustained on this basis.

Defendants also argue that the bare allegation of “derogatory material” without describing the facts alleged concealed renders the claim deficient. (Demurrer at p. 6:13-15.) The Complaint generally alleges that “Defendants prevented Plaintiffs from discovery derogatory material facts regarding the value, profitability[,] and viability of the Trim Tech Business that were known only to Defendants prior to close of the APA.” (Complaint, ¶ 40.) The concealment claim, however, also realleges the preceding allegations, including that “Defendants failed to provide Plaintiffs with copies of agreements showing the backlog projects' details” and that “Defendants prevented Plaintiffs from meeting anyone on the Trim Tech team prior to the close of the APA.” (*Id.* at ¶¶ 18-19.) Construing the pleadings liberally, as the Court must do, preventing Plaintiffs from meeting Trim Tech Business employees could

be understood as concealing their experience and compensation. (Code Civ. Proc., § 452 [“In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties.”]) These allegations are therefore sufficient for purposes of demurrer.

The demurrer to the second cause of action is OVERRULED.

Breach of Contract

In demurring to the fourth cause of action for breach of contract, Defendants contend that the Complaint fails to address the APA’s integration clause and identify any specific provision of the APA that was purportedly breached.

As an initial matter, the Court rejects the integration clause and parol evidence rule argument as it impermissibly requires the Court to consider extrinsic evidence—*i.e.*, the APA’s integration clause. On demurrer the Court considers only the pleading under attack, any attached exhibits, and any facts or documents of which the court may take judicial notice. (See *Barnett v. Fireman’s Fund Ins. Co.* (2001) 90 Cal.App.4th 500, 505.) The integration clause is not incorporated into the Complaint, and Defendants do not request judicial notice of the APA or its integration clause.

Defendants’ assertion that the Complaint fails to identify the specific provision of the APA that was purportedly breached fares no better. As Plaintiffs point out in their opposition, the Complaint may plead the contract provisions in lieu of attaching the APA. (Opposition at p. 8:12-17; see *Construction Protective Services, Inc. v. TIG Specialty Ins. Co.* (2002) 29 Cal.4th 189, 199 (*Construction*) [“a plaintiff may plead the legal effect of the contract rather than its precise language.”]; see also *McKell v. Washington Mutual, Inc.* (2006) 142 Cal.App.4th 1457, 1489 [“In order to plead a contract by its legal effect, plaintiff must ‘allege the substance of its relevant terms.’”].) And, paragraph 56 of the Complaint alleges that Defendants breached the APA by failing to transfer a Trim Tech Business that (1) was profitable and generated 40% gross margins and 20% adjusted EBITDA margins; (2) had a \$14 million project backlog that would sustain a significant portion of the business for the next two years; (3) the management team consisted of seasoned key employees that knew how to run the business; and (4) had employees who were being compensated at market levels. (Complaint, ¶ 56.) In a case Defendants cite, *Perry v. Robertson* (1988) 201 Cal.App.3d 333, 341 (*Perry*), the appellate court found plaintiff’s allegation of “the nature of the contract as one engaging defendants as agents for purposes of selling her residence” to be sufficient for purposes of demurrer, noting, “The purpose of the specific pleading of a written contract requirement is to permit the defendant to demur to the breach of contract claim based upon the construction of the text of the contract, a question of law unless extrinsic facts bearing upon meaning are alleged.” Here, the Complaint alleges more substance compared to *Perry*.

On Reply, Defendants surmise that Plaintiffs have not attached the APA because the agreement contains no provision that supports the allegation of breach and again cite extrinsic evidence (*i.e.* provisions of the APA) in support. (Reply, p. 5:1-3.) Again, the Court cannot consider these excerpts, or the arguments made in reliance thereof, as they go outside of the four corners of the Complaint. Moreover, it is well settled, that “[a] demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff’s ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court.” (*Committee, supra*, 35 Cal.3d at pp. 213-214.) To the extent that Defendants contest the veracity of the pleadings, the proper procedural vehicle would be a motion for summary judgment or summary adjudication—not a

demurrer. Finally, Defendants provide no authority to support their request that the Court order the APA to be attached to any amended pleading and incorporated by reference. (*Benach v. County of Los Angeles* (2007) 149 Cal.App.4th 836, 852 [“When [a party] fails to raise a point, or asserts it but fails to support it with reasoned argument and citations to authority, we treat the point as waived.”]) Moreover, as noted above, the legal effect of the APA may be alleged in lieu of attaching the agreement itself. (See *Construction, supra*, 29 Cal.4th at p. 199.)

The demurrer to the fourth cause of action is OVERRULED.

Disposition

The demurrer to the entire Complaint against Individual Defendants is SUSTAINED WITH 20 DAYS’ LEAVE TO AMEND for failure to state a valid claim.

The demurrer to the first and third causes of action is SUSTAINED WITH 20 DAYS’ LEAVE TO AMEND for failure to state a valid claim.

The demurrer to the second and fourth causes of action is OVERRULED.

The Court will prepare the Order.

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Calendar Line 6

Case Name: *Tal Eisenman v. Codex Health, Inc.*

Case No.: 25CV478690

I. BACKGROUND

Plaintiff Tal Eisenman (“Plaintiff” or “Eisenman”), formerly Tal Barak, executed an Arbitration Agreement (“the Agreement”) with her employer, Defendant Codex Health, Inc. (“Defendant” or “Codex”) on September 22, 2023. (Declaration of Ryan Williams [“Williams Decl.”] at ¶ 7, Ex. B.) Plaintiff joined Codex on October 23, 2023. (Complaint at ¶ 12.) On June 21, 2024, while heavily pregnant and weeks before giving birth, Plaintiff was told her position was being eliminated effective immediately. (*Id.* at ¶ 31.) On October 22, 2025, Plaintiff filed suit for *inter alia*, wrongful termination, gender/disability discrimination, and retaliation.

Defendant now moves to compel arbitration pursuant to the Arbitration Agreement that was electronically signed by Plaintiff during the onboarding process. Plaintiff argues the Arbitration Agreement is unenforceable because it is unconscionable. Having reviewed the Agreement and evidence, the Court agrees with Defendant and grants the motion.

II. LEGAL STANDARD

Defendant maintains the Federal Arbitration Act (“FAA”) governs the Arbitration Agreement based on the language of the Agreement and because its operations affect interstate commerce. (Mtn. to Compel Arbitration at pp. 9:2-10:14.) The Agreement states “[a]ny arbitration proceeding under this Agreement shall proceed under and be governed by the Federal Arbitration Act (“FAA”) because Employee, Worksite Employer, and Rippling PEO are engaged in interstate commerce.” (Williams Decl., Ex. B at ¶ 7.) Defendant asserts that its operations are multistate in nature because its products and services are used in twelve states. (Declaration of Murari Srinivasan at ¶ 3.) The Court finds that this satisfies the interstate commerce requirement that in any event, “[e]mployment contracts, except for those covering workers engaged in transportation, are covered by the FAA.” (*EEOC v. Waffle House, Inc.* (2002) 534 U.S. 279, 289.)

Under the FAA, the court’s role is limited to determining “(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue.” (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine “whether a valid contract to arbitrate exists,” courts apply “ordinary state law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

Alternatively, Defendant argues the California Arbitration Act (“CAA”) governs the Arbitration Agreement. (Mtn. to Compel Arbitration at pp. 12:16-13:15.) Code of Civil Procedure section 1281.2 provides:

On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy in that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement

In determining the threshold question of whether an arbitration agreement exists between the parties, the court employs a three-step burden shifting analysis. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); see also *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement's existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (*Iyere, supra*, 87 Cal.App.5th at p. 755.)

III. ANALYSIS

The parties entered into a valid agreement to arbitrate. Plaintiff affixed her electronic signature to the Agreement on September 22, 2023. (Williams Decl., Ex. B at ¶ 7.) “A party’s acceptance of an agreement to arbitrate may be express, as whether a party signs the agreement.” (*Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 777.) Moreover, “[u]nder Civil Code section 1633.7 . . . an electronic signature has the same legal effect as a handwritten signature.” (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The authenticity of an electronic signature may be established by detailing the “security precautions regarding transmission and use of an applicant’s unique username and password, as well as the steps an applicant would have to take to place his or her name on the signature line of the employment agreement.” (*Id.* at p. 1062.)

Plaintiff completed onboarding through Rippling, a password-protected online portal used by Codex to provide employees access to employment policies and onboarding documents. (Williams Decl. at ¶¶ 4, 7.) Plaintiff accessed the portal by using a link sent to her email address to create a Rippling account and set a unique username and password. (Williams Decl. at ¶¶ 5, 7.) Plaintiff was required to accept Rippling’s User Terms of Service Agreement, which expressly provides that: (1) the user agrees to conduct transactions electronically; (2) any electronic signature provided in the Rippling platform is the legal equivalent of the user’s handwritten signature; and (3) the user may withdraw consent to do business electronically at any time. (Williams Decl. at ¶ 5, Ex. A.) Plaintiff could access and view onboarding documents only after logging in with her unique credentials and accepting the User Terms of Service Agreement. (*Ibid.*) Records show that Plaintiff accessed the Arbitration Agreement and clicked the e-sign button on September 22, 2023. (Williams Decl. at ¶¶ 4, 7.) Defendant’s account of this process is sufficient to authenticate Plaintiff’s signature and establish an agreement to arbitrate between the parties.

The scope of the Agreement also covers Plaintiff’s claims. The Agreement provides:

This Agreement applies to claims Employee may bring against Worksite Employer or Rippling PEO for wrongful termination, discrimination, harassment, retaliation, breach of contract, wage and hour violations, and claims related to any services provided by Rippling PEO to Employee, whether directly or indirectly, and torts such as invasion of privacy, assault and battery, or defamation. This Agreement also applies to claims that Worksite Employer or Rippling PEO might bring against Employee such as, for example, theft of money, or trade secrets, breach of a confidentiality Agreement, or breach of contract.

(Williams Decl., Ex. B at ¶ 2.) The Agreement goes on to include “all disputes, whether based on tort, contract, statute” and enumerates specific statutes. (*Ibid.*) Plaintiff’s claims are

for wrongful termination, discrimination, and retaliation and thus expressly fall within the scope of the agreement.

However, Plaintiff does not truly dispute that she signed the Agreement or that the scope of the Agreement covers her claims. Instead, she challenges the enforceability of the Agreement by arguing that it is unconscionable.

The party challenging a contractual arbitration provision bears the burden of proving that it is both procedurally and substantively unconscionable. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126 (*OTO*)). This may be done on a sliding scale, where the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required, and vice versa. (*Id.* at pp. 125-126.) Nevertheless, both must be shown. Procedural unconscionability focuses on oppression or surprise to the “weaker” party based on unequal bargaining power, whereas substantive unconscionability focuses on the terms of the agreement and whether they are overly harsh or one-sided. (*OTO, supra*, 8 Cal.5th at pp. 125-129.) The Court thus proceeds to consider whether the Agreement is procedurally and substantively unconscionable.

Procedural Unconscionability

The circumstances that the court examines to determine whether there was “oppression” in the signing of an agreement generally include: “ ‘(1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party’s review of the proposed contract was aided by an attorney.’ ” (*OTO, supra*, 8 Cal.5th at pp. 126-127 [quoting (*Grand Prospect Partners, L.P. v. Ross Dress for Less, Inc.* (2015) 232 Cal.App.4th 1332, 1348)].)

Here, Plaintiff was not subject to any time limit for reviewing the Arbitration Agreement. (Williams Decl. at ¶ 6; Reply at p. 3:15-17.) She could log out of the online portal and log back in to review and sign the Agreement at any time. (*Ibid.*) Although only three pages long, the Agreement is dense with legal jargon and statutory references that are difficult for a layperson to understand. (Williams Decl., Ex. B [referring to the “National Relations Board”, the “Equal Employment Opportunity Commission”, “statute of limitations”, and “motion for summary judgment”].) (See *OTO, supra*, 8 Cal.5th at p. 128 [finding procedural unconscionability where the substance of the agreement was filled with statutory references and legal jargon].) While Plaintiff was required to sign the Agreement as a condition of employment, “the cases uniformly agree that a compulsory predispute arbitration agreement is not rendered unenforceable just because it is required as a condition of employment or offered on a ‘take it or leave it’ basis.” (*Lagatree v. Luce* (1999) 74 Cal.App.4th 1105, 1127.) (Reply at p. 1:20-22.) This type of contract of adhesion in the employment context adds a modest amount of procedural unconscionability and, the amount of procedural unconscionability is increased when the fact of an adhesion contract is combined with other issues. (See *Nguyen v. Applied Medical Resources Corp.* (2016) 4 Cal.App.5th 232, 248.) The Court finds that a moderate degree of procedural unconscionability exists given its presentation and adhesive nature.

Substantive Unconscionability

With regard to substantive unconscionability,

As the *Armendariz* court explained, based on “the principle of nonwaivability of statutory civil rights in the workplace,” there are “five minimum requirements for the lawful arbitration of such rights pursuant to a mandatory employment arbitration agreement. Such an arbitration agreement is lawful if it ‘(1) provides for

neutral arbitrators, (2) provides for more than minimal discovery, (3) requires a written award, (4) provides for all of the types of relief that would otherwise be available in court, and (5) does not require employees to pay either unreasonable costs or any arbitrators' fees or expenses as a condition of access to the arbitration forum. Thus an employee who is made to use arbitration as a condition of employment "effectively may vindicate [his or her] statutory cause of action in the arbitral forum." (Armendariz, *supra*, 24 Cal.4th at p. 102.)

(*Mills v. Facility Solutions Group, Inc.* (2022) 84 Cal.App.5th 1035, 1052.)

The Arbitration Agreement satisfies these factors. The Agreement requires that the parties select an arbitrator by mutual agreement or submit to a process by which to select an arbitrator from a jointly provided list. (Williams Decl., Ex. B at ¶ 7.) The Agreement incorporates the Federal Rules of Civil Procedure as well as the procedures of the CAA pertaining to discovery. (*Ibid.*) The Agreement provides that the arbitrator shall issue a written award and may order all relief under California law. (*Ibid.*) The Agreement further provides that Codex or Rippling PEO will pay the arbitrator's fees and costs. (Williams Decl., Ex. B at ¶ 8.)

Plaintiff, however, argues that the Agreement is substantively unconscionable based on her reading of *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312 (*Cook*). In *Cook*, the Second District Court of Appeal upheld the trial court's denial of a motion to compel arbitration because of the (1) broad scope of the agreement, (2) the infinite duration, and (3) the lack of mutuality in the claims that were covered by the agreement. (*Cook, supra*, 102 Cal.App.5th at p. 321.) With respect to the broad scope, the agreement required the arbitration of "all claims" whether or not arising out of the employment relationship between the parties. (*Ibid.*) The court noted that employment contracts can provide a "margin of safety" to the party with the superior bargaining power as long as there is a legitimate commercial need for doing so that is explained in the contract itself. (*Cook, supra*, 102 Cal.App.5th at p. 324.) The agreement there did not explain the justification and the court held that the trial court did not err in holding that the broad scope was substantively unconscionable. (*Id.* at pp. 324-325.)

As for the infinite duration, the agreement purported to survive indefinitely following the employee's termination unless modified by a written document signed by the president of the university. (*Cook, supra*, 102 Cal.App.5th at p. 325.) The court held that this amounted to an express term of duration and did not establish that the agreement was terminable at will. (*Ibid.*) The court upheld the trial court's finding of substantive unconscionability on the grounds that plaintiff could be ordered to arbitrate any injuries she suffered related to USC or its related entities for the rest of her life. (*Cook, supra*, 102 Cal.App.5th at pp. 318, 325.) Finally, the court found that the agreement lacked mutuality because the plaintiff was required to arbitrate any claims she had with USC's related entities, but the related entities were not required to arbitrate their claims with her. (*Id.* at pp. 326-327.) The court noted, "[t]he plain language of the arbitration agreement thus provides a significant benefit to USC's related entities without any reciprocal benefit to Cook." (*Id.* at p. 328.)

Plaintiff here argues the Arbitration Agreement to similar to the one in *Cook* and should be found substantively unconscionable. (Opposition at pp. 5:8-8:26.) First, Plaintiff argues the Agreement is broad in scope in that it applies to "any claim and/or controversy" or "all disputes, whether based on tort, contract, statute . . ." (*Id.* at p. 6:3-26.) However, paragraph 2 more specifically sets forth the nature of the claims that are covered by the Agreement and are tailored to those that may arise out of an employment relationship. (Williams Decl., Ex. B at

¶ 2; Reply at p. 4:24-27.) The disclaimer above the signature line further provides that the Agreement applies to disputes arising out of the employment relationship:

EMPLOYEE UNDERSTANDS THAT THIS AGREEMENT REQUIRES THE EMPLOYEE AND WORKSITE EMPLOYER OR Rippling PEO TO ARBITRATE ANY AND ALL DISPUTES THAT ARISE OUT OF EMPLOYEE’S EMPLOYMENT WITH WORKSITE EMPLOYER, AND/OR RELATIONSHIP WITH RIPPLING PEO, EXCEPT AS SET FORTH HEREIN, AND THAT EMPLOYEE AND WORKSITE EMPLOYER OR RIPPLING PEO ARE GIVING UP THEIR RESPECTIVE RIGHTS TO A TRIAL BY JURY. BY SIGNING THIS PEO, ARBITRATION AGREEMENT, EMPLOYEE CONFIRMS THE FACT THAT EMPLOYEE HAS READ, UNDERSTANDS, AND AGREES TO BE LEGALLY BOUND BY ALL OF THE ABOVE TERMS.

(Williams Decl., Ex. B at p. 3; Reply at pp. 2:19-25, 4:28-5:3.) The Agreement here is narrower than the one at issue in *Cook*. The Court does not find this to be a ground for finding substantive unconscionability.

Second, on the other hand, the Agreement is similar to the one in *Cook* in that it survives for an indefinite duration. The Agreement provides, “[t]his Agreement shall survive termination of Employee’s employment relationship with Rippling.” (Williams Decl., Ex. B at ¶ 10.) Although as Defendant notes, Rippling provides services to over 30,000 entities, the Agreement is nevertheless limited to claims arising out of the employment relationship between Plaintiff and Codex. (Declaration of Jarryd Cooper at ¶ 4; Reply at p. 6:19-20.) Thus, the scope of the Agreement implicitly limits its duration to the length of the relationship between the parties and any disputes that arise therefrom during that time. (*Ayala-Ventura v. Superior Court* (2026) 119 Cal.App.5th 241, 257 [reiterating “the importance of context in determining unconscionability.”].) The clause as construed with the entirety of the agreement, therefore, provides that Plaintiff must arbitrate her claims arising out of her employment even after termination. The Court does not find this term to be substantively unconscionable either.

Finally, the Agreement is also similar to the one in *Cook* in that it requires Plaintiff to arbitrate her claims against third parties but not vice versa. The Agreement provides:

Employee’s agreement to arbitrate claims against Worksite Employer or Rippling PEO includes claims that Employee may bring against Worksite Employer’s or Rippling PEO’s respective parent, subsidiary, affiliated or client entities as well as owners, directors, officers, managers, employees, agents, brokers, contractors, attorneys, including in their capacity as benefit plan administrators or fiduciaries to any employee benefit plan of which Employee is a participant or beneficiary, and insurers of Worksite Employer or Rippling PEO (“Company Entities”). Employee also agrees to arbitrate claims against any person or entity that Employee may allege to be a joint employer, joint enterprise, alter ego, or to have common ownership with Worksite Employer.

(Williams Decl., Ex. B at ¶ 2.) The Agreement requires Plaintiff to arbitrate her claims against these Company Entities but does not require the Company Entities to do the same. It thus confers a benefit on Defendant without any reciprocal benefit to Plaintiff. The Agreement, therefore, lacks mutuality in this regard and is substantively unconscionable. Since the Court has found at least one unconscionable term, the Court considers whether it can be severed from the Agreement.

Severability

“[W]hether to sever is within the trial court’s discretion.” (*Navas v. Fresh Venture Foods, LLC* (2002) 85 Cal.App.5th 626, 636-637.)

“ ‘In deciding whether the sever terms rather than to preclude enforcement of the provision altogether, the overarching inquiry is whether the interests of justice would be furthered by severance; the strong preference is to sever unless the agreement is “permeated” by unconscionability.’ [Citation.] [¶] An agreement to arbitrate is considered ‘permeated’ by unconscionability where it contains more than one unconscionable provision. [Citation.] ‘Such multiple defects indicate a systemic effort to impose arbitration on [the nondrafting party] not simply as an alternative to litigation, but as an inferior forum that works to the [drafting party’s] advantage.’ [Citation.] An arbitration agreement is also deemed ‘permeated’ by unconscionability if ‘there is no single provision a court can strike or restrict in order to remove the unconscionable taint from the agreement.’ [Citation.] If ‘the court would have to in effect, reform the contract, not through severance or restriction, but by augmenting it with additional terms,’ the court must void the entire agreement.” (*Mango v. The College Network, Inc.* (2016) 1 Cal.App.5th 277, 292.)

(*De Leon v. Pinnacle Property Management Services, LLC* (2021) 72 Cal.App.5th 476, 492-493.)

Defendant argues the Court can sever the provision concerning the Company Entities without affecting the other terms or altering the meaning of the Agreement. (Mtn. to Compel Arbitration at pp. 17:10-18:10.) Plaintiff relies again on *Cook* to argue the terms cannot be severed because unconscionability permeates the agreement. (Opposition at pp. 9:25-10:13.) In *Cook*, the court affirmed the trial court’s judgment on severability because it was based on the fact that multiple provisions were unconscionable and that the central purpose of the agreement was for the parties to arbitrate all disputes with each other for an indefinite period of time, including those against third parties. (*Cook, supra*, 102 Cal.App.5th at pp. 328-330.) Here, the Court has only found a single provision unconscionable. The purpose of the Agreement differs in that it is for the parties to arbitrate disputes arising out of the employment relationship and for the duration of that relationship. Severance of the provisions relating to Company Entities will not change that central purpose or significantly alter the Agreement such that the Court would be re-writing it. Accordingly, the Court severs reference to the Company Entities in paragraphs 1 and 2, such that the Agreement only requires an agreement to mutually arbitrate between Plaintiff, Defendant, and Rippling PEO.

For these reasons, the Court GRANTS the Motion to Compel Arbitration. This action is hereby STAYED pending the outcome of arbitration. (Code Civ. Proc. § 1281.4; 9 U.S.C. § 3.)

IV. CONCLUSION

The Court GRANTS the Motion to Compel Arbitration. This action is STAYED pending the outcome of arbitration.

The Court will prepare the order

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